

Appendix Z – Refund Bills and Structure

It is necessary to examine at least three bills to understand the refund process applied by Octopus Energy (see :contentReferenceoaicite:0).

These are:

- Refund and rebill (June 2025)
- Original bill (Oct 2024 – Dec 2024)
- Original bill (Dec 2024 – Mar 2025)

These are presented in full.

Observations on the Refund Bill

The June 2025 bill combines:

- reversal of earlier charges; and
- application of new charges

However, the time periods used do not align cleanly with the original bills.

In particular:

- original billing periods are split into smaller sub-periods
- refunded periods are not presented in chronological order
- new charges overlap, but do not exactly match, the reversed periods
- a new billing period (April–June 2025) is introduced alongside the refund

This results in a structure where there is no clear one-to-one correspondence between the original charges and the refunded amounts.

Practical Effect

The structure of the bills makes it extremely difficult to determine:

- how specific refunded amounts relate to original charges
- which unit rates have been applied to refunded consumption
- how the overall refund value has been calculated

Even after detailed review, it was not possible to establish a fully consistent mapping between the original and revised charges without significant reconstruction.

This level of complexity would not reasonably be expected of a customer.

Interpretation of the Refund Approach

Based on the bills provided, it appears that:

- Octopus has assumed that the overestimation occurred primarily within a limited period immediately preceding the refund;
- that period corresponds to unit rates in the region of ~6p/kWh;
- earlier periods, where unit rates were materially higher, do not appear to have been reflected in the refund valuation.

Octopus's own annual consumption estimates indicate that overestimation was ongoing across a much longer period, including those earlier higher-cost periods.

There is no explanation provided for selecting the specific period used for the refund calculation.

Conclusion

The bills demonstrate that:

- the refund has been implemented using a fragmented and non-sequential structure;
- the relationship between original charges and refunded amounts is not transparent;
- the methodology used has not been explained, despite requests;
- and the resulting refund may not reflect the true financial impact of the overestimation.

I therefore request that the Ombudsman seek clarification from Octopus Energy directly as to the methodology used.